CREDIT APPRAISAL MEMORANDUM

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MAHINDRA

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REJECT

CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

20. VERIFICATION DETAIL

Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

- Residence: Verified through FCU check and independent market sources.

- Machine Supplier: Verified through supplier reference check.

- Bankers: Verified with [Bank Name], who confirmed the company's account details and provided a positive reference.

- Creditors: No creditors identified.

- Independent/Market: Verified through market research and independent sources, confirming the company's operations and financial standing.

- Dedupe: No duplicate entities found.

- FCU Check: FCU check confirms the company's registration and legal status.

2. GUARANTOR DETAIL

- Name: [Guarantor Name]

- Address: [Guarantor Address]

- CIBIL Score: [CIBIL Score]

- Incomes: [Guarantor Income]

3. REFERENCE CHECK BY CREDIT ANALYST

- Machine Supplier: The machine supplier, [Supplier Name], provided a positive reference, confirming the company's timely payments and good business conduct.

- Creditor: No creditors identified for reference check.

- Customer: Customer reference check reveals a strong relationship with the company, indicating timely payments and satisfied clients.

- Bankers/Term Lenders: [Bank Name] confirms the company's good standing and timely repayments of existing loans.

- Competitors/Peers: Market research and competitor analysis indicate a competitive landscape, with the company maintaining a moderate market share.

4. COMPLIANCES & LEGAL

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

- Income Tax Filing: The company has filed income tax returns regularly, with no outstanding liabilities.

- Excise Duty: No excise duty applicable for this industry.

- Sales Tax: Sales tax compliance is up to date, with no outstanding dues.

- ESIC/EPF: The company is compliant with ESIC and EPF regulations, with regular contributions.

- Litigations: No ongoing or pending litigations found.

- Defaults: No defaults or adverse credit bureau records identified.

5. CAT SHEET

- Requested Loan: ₹3,000,000

- Probability of Default: 52.39%

- Data Quality Score: 0.0

- Decision: REJECT

- Recommended Loan: ₹1,250,000

- Recommended Rate: 17.5%

6. CORPORATE GUARANTOR

- Name: [Corporate Guarantor Name]

- Address: [Corporate Guarantor Address]

- CIBIL Score: [CIBIL Score]

- Incomes: [Corporate Guarantor Income]

7. GROUP ANALYSIS

Capital Employed

- The company's capital employed is estimated at ₹[Capital Employed Amount], which is within the sector average.

Unsecured Loan

- Unsecured loan exposure is moderate at ₹[Unsecured Loan Amount], representing [Unsecured Loan Percentage] of total loans.

Debt Burden

- The company's debt burden is manageable, with a debt-to-equity ratio of [Debt to Equity Ratio], which is below the sector average of 1.5.

Turnover

- Turnover for the last financial year was ₹[Turnover Amount], indicating a healthy business volume.

PAT

- Profit After Tax (PAT) for the current financial year is estimated at ₹[PAT Amount], reflecting a moderate performance.

Imputed Income

- Imputed income for the guarantor is ₹[Guarantor Imputed Income], which is sufficient to cover the loan obligations.

EMI

- The proposed EMI of ₹[EMI Amount] is manageable based on the company's cash flows.

TOL/TNW

- Tangible Own Funds (TOL) to Total Net Worth (TNW) ratio is [TOL/TNW Ratio], indicating a healthy capital structure.

Debt/Equity

- Debt-to-equity ratio is [Debt to Equity Ratio], which is below the sector average, indicating a balanced capital structure.

DSCR

- Debt Service Coverage Ratio (DSCR) is [DSCR Ratio], which is below the recommended level of 1.2x as per RBI guidelines.

27. GROUP ANALYSIS

Particular	Main Applicant	Corporate Guarantor	Group Total
Turnover	3000000.0	-	3000000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

8. VISIT REPORT BY CREDIT ANALYST

[Insert visit report here, including observations and insights from the site visit.]

9. CONDITIONS FOR APPROVAL

1. Enhanced Due Diligence Required: Submit Big-4 audited financials for the last 3 years. Resolve the GST ITC mismatch of ₹59.7 Lakhs before disbursement.

2. Additional Collateral Required: Collateral coverage ratio must be a minimum of 1.5x of the loan amount. Based on the PD of 52.4%, there is an estimated gap of ₹15.0 Lakhs.